

MGT402- Cost Management Accounting

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5 Final Term Exams of 2010

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FINALTERM EXAMINATION

Fall 2010

MGT402- Cost Management Accounting (Session - 3)

Time: 120 min

Marks: 84

Student Info	
Center:	OPKST
ExamDate:	3/1/2010 12:00:00 AM

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									
Q No.	33	34	35	36	37	38	39	40	

Question No: 1 (Marks: 1) - Please choose one

_____ The contribution margin ratio is 30% for the Spice Co. and the breakeven point in sales is Rs. 150,000. If the company desires a target net income of Rs. 60,000, what would have to be the amount of actual sales?

- ▶ Rs. 200,000
- ▶ Rs. 350,000
- ▶ Rs. 250,000
- ▶ **Rs. 210,000**

Question No: 2 (Marks: 1) - Please choose one

_____ Cost of finished goods inventory is calculated by:

- ▶ Deducting total cost from finished goods inventory
- ▶ **Multiplying units of finished goods inventory with the cost per unit**
- ▶ Dividing units of finished goods inventory with the cost per unit
- ▶ Multiplying total cost with finished goods inventory

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Question No: 3 (Marks: 1) - Please choose one

_____ All of the following are characteristics of Group Bonus Scheme **EXCEPT**:

- ▶ A standard time is set for the completion of a job
- ▶ If the time taken is greater than the time allowed, the workers in the group receive time wages
- ▶ If the time taken is less than the time allowed, the group receives a bonus on time saved
- ▶ **If the time taken is greater than the time allowed, the workers in the group receive time deductions for extra hours**

Question No: 4 (Marks: 1) - Please choose one

Superior started 80,000 gallons of paint. During the month the company completed 92,000 gallons and transferred them to the mixing department. Superior had 38,000 gallons in beginning inventory and 26,000 gallons in ending inventory.

Material is added at the beginning of the process and conversion costs are added evenly throughout the process.

Beginning WIP was 30% complete as to conversion costs and ending WIP was 20% complete as to conversion costs. The company uses a FIFO costing

The company uses a FIFO costing. The cost data for February follow:

Beginning inventory:

Direct materials Rs.22, 200

Conversion costs Rs. 44,000

Costs added this period:

Direct materials Rs. 150,000

Conversion costs Rs. 343,200

Required:

What was the cost of direct materials in ending inventory?

- ▶ Rs. 37,560
- ▶ Rs. 42,600
- ▶ **Rs. 45,550**
- ▶ Rs. 48,750

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Question No: 5 (Marks: 1) - Please choose one

Jones, Industries uses process costing system. In October, the finishing department had 30,000 (20% as to conversion) units in beginning work-in-process, 45,000 (40% as to conversion) units in ending inventory and had 95,000 units transferred in from the previous department. Material is added at the end of the process and conversion costs are added uniformly throughout the process.

Required: If Jones uses weighted average, what are the equivalent units of production for direct material and conversion costs?

- ▶ **Material 125,000 units Conversion cost 45,000 units**
- ▶ Material 125,000 units Conversion cost 98,000 units
- ▶ Material 125,000 units Conversion cost 18,000 units
- ▶ Material 125,000 units Conversion cost 80,000 units

Question No: 6 (Marks: 1) - Please choose one

average cost is also known as:

- ▶ Variable cost
- ▶ **Unit cost**
- ▶ Total cost
- ▶ Fixed cost

Question No: 7 (Marks: 1) - Please choose one

Period costs are:

- ▶ Expensed when the product is sold
- ▶ Included in the cost of goods sold
- ▶ **Related to specific period**
- ▶ Not expensed

Question No: 8 (Marks: 1) - Please choose one

net profit or loss for a particular period of time is reported on which of the following?

- ▶ Statement of cash flows
- ▶ Statement of changes in owner's equity
- ▶ **Income statement**
- ▶ Balance sheet

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Question No: 9 (Marks: 1) - Please choose one

Which of the following is correct?

► **Units sold= Opening finished goods units + Units produced – Closing finished goods units**

► Units Sold = Units produced + Closing finished goods units - Opening finished goods units

► Units sold = Sales + Average units of finished goods inventory

► Units sold = Sales - Average units of finished goods inventory

Question No: 10 (Marks: 1) - Please choose one

Which of the following is important requirement of the effective material control?

► There are proper storage facilities

► There is a proper authority that will regulate the supply of material

► The accounts should provide a running balance of the value of the materials on hand

► **All of the given options**

Question No: 11 (Marks: 1) - Please choose one

Material requisition is a document that supports the requirement of the material. This document is sent to store incharge and approved by:

► Store manager

► **Production manager**

► Supplier manager

► Purchase manager

Question No: 12 (Marks: 1) - Please choose one

Process of cost apportionment is carried out so that: _____ The

► Cost may be controlled

► Cost unit gather overheads as they pass through cost centers

► Whole items of cost can be charged to cost centers

► **Common costs are shared among cost centers**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is characteristic of a job order cost accounting system?

► It records manufacturing activities using a perpetual inventory system

► It tracks cost by job

► It is best suited for customized products

► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

by product:

▶ **Is produced from material that would otherwise be of no value**

- ▶ Has a lower selling price than the main product
- ▶ Is created along with the main product, but its sales value does not cover its production cost
- ▶ Always produces a large amount of revenue than the main product

Question No: 15 (Marks: 1) - Please choose one

According to marginal costing concept, all fixed costs are considered as:

▶ **Period cost**

- ▶ Production cost
- ▶ Mixed cost
- ▶ Sunk cost

Question No: 16 (Marks: 1) - Please choose one

Variable costing is also known as: <http://vustudents.ning.com>

- ▶ Direct Costing
- ▶ Marginal Costing
- ▶ **Both Direct Costing & Marginal Costing**
- ▶ Indirect Costing

Question No: 17 (Marks: 1) - Please choose one

Blackhat Chimney Builders constructed 80 units during 1901. The total sales value for these 80 units was Rs. 460,000. Variable costs associated with each unit were Rs. 4,000 and the company's fixed costs for 1901 amounted to Rs. 50,000. How much was the per-unit contribution margin?

- ▶ Rs. 750
- ▶ Rs. 1,125
- ▶ **Rs. 1,750**
- ▶ Rs. 5,125

Question No: 18 (Marks: 1) - Please choose one

Which of the following represents the calculation of contribution margin ratio?

- ▶ (Sales - Total Expenses) / Sales
- ▶ (Sales - Fixed Expenses) / Sales
- ▶ (Sales - Cost of Goods Sold) / Sales
- ▶ **(Sales - Variable Expenses) / Sales**

Question No: 19 (Marks: 1) - Please choose one

by-product of oil and fuel is: <http://vustudents.ning.com>

The

- ▶ Mobil oil and lubricating oils
- ▶ Kerosene oil and Asphalt and Tar
- ▶ Gasoline and Petroleum coke
- ▶ **All of the given**

Question No: 20 (Marks: 1) - Please choose one

Information concerning Label Corporation's Product A is as follows:

	Rs.
Sales price	300,000
Variable cost	240,000
Fixed Cost	40,000

Assuming that Label increased sales of Product A by 20%, the profit of the product A would be which of the following?

- ▶ Rs. 20,000
- ▶ **Rs. 24,000**
- ▶ Rs. 32,000
- ▶ Rs. 80,000

Question No: 21 (Marks: 1) - Please choose one

While constructing a Break even chart, the gap between sales line and variable cost line shows which of the following?

- ▶ Fixed cost
- ▶ Break even point
- ▶ **Contribution margin**
- ▶ Variable cost

Question No: 22 (Marks: 1) - Please choose one

If one would prepare a graph with a horizontal axis representing units of production and a vertical axis representing per-unit production cost, how would a line representing fixed production cost is drawn?

- ▶ As a horizontal line
- ▶ As a vertical line
- ▶ As a straight line sloping upward to the right
- ▶ **As a straight line sloping downward to the right**

Question No: 23 (Marks: 1) - Please choose one

All of the following are the objectives of budgeting EXCEPT:

- ▶ Maximization of sales

- ▶ Profit maximization
- ▶ Compete with competitors
- ▶ **Increased cost**

Question No: 24 (Marks: 1) - Please choose one

Production budget is an example of which of the following budget? <http://vustudents.ning.com>

▶ **Functional budget**

- ▶ Master budget
- ▶ Cost of goods sold budget
- ▶ Sales budget

Question No: 25 (Marks: 1) - Please choose one

Consider the following data for the month of April:

Closing stock 80 units

Production 280 units

Sales 330 units

Based on the data, the opening stock for April will have to be:

- ▶ 50 units
- ▶ 410 units
- ▶ 70 units
- ▶ **130 units**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a reason of main difference between production budget and Production cost budget?

- ▶ Production budget is constructed in units
- ▶ Production budget is constructed in Rs.
- ▶ Production cost budget is constructed in units
- ▶ **Both are same budgets**

Question No: 27 (Marks: 1) - Please choose one

Which of the following factor would determine the importance of direct labor cost budget in human resource department?

▶ **Provide guidance about the requirements of number of work force**

- ▶ Provide feed back about the working of workforce
- ▶ How much payroll will have been paid?
- ▶ How the cost units will be produced?

Question No: 28 (Marks: 1) - Please choose one

Usually the first step in the production of the master budget is the: <http://vustudents.ning.com>

▶ **Sales forecast**

- ▶ Sales budget
- ▶ Cash budget
- ▶ Production budget

Question No: 29 (Marks: 1) - Please choose one

The master budget usually begins with a:

- ▶ Production budget
- ▶ Direct materials budget
- ▶ Direct labor budget
- ▶ **Sales budget**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** example of a cash outflow?

- ▶ Cash drawings
- ▶ Purchase of new equipment
- ▶ Commission paid
- ▶ **Depreciation**

Maryam

Question No: 31 (Marks: 1) - Please choose one

Which of the following is true about flexible budget?

- ▶ A budget that always based on actual capacity
- ▶ A budget that is prepared using spreadsheet model
- ▶ A budget in which total variable cost remains unchanged
- ▶ **Variable costs per unit will remain unchanged**

Question No: 32 (Marks: 1) - Please choose one

Smith & Company estimate its overheads to produce 80,000 units are Rs. 1,000,000 (60 percent is variable). What would be the budgeted overhead at a capacity level of 100,000 units?

- ▶ Rs. 1,050,000
- ▶ **Rs. 1,150,000**
- ▶ Rs. 1,250,000
- ▶ Rs. 1,450,000

Arslan

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a process by which managers analyze options available to set courses of action by the organization?

- ▶ Heuristics method
- ▶ **Decision making**
- ▶ The Delphi technique

- ▶ Systematic error

Question No: 34 (Marks: 1) - Please choose one

_____ The following monthly data are available for the Boarder, Inc. and its only product: Unit sales price = Rs. 36 Unit variable expenses = Rs. 28 Total fixed expenses = Rs. 50,000 Actual sales for the month of May = 7,000 units. The margin of safety for the company for May was:

▶ **Rs. 6,000**

- ▶ Rs. 27,000
- ▶ Rs. 56,000
- ▶ Rs. 106,000

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Question No: 35 (Marks: 1) - Please choose one

Perpetual inventory system is:

- ▶ A stock control system designed to ensure that the level of stock never falls to zero
- ▶ A system of counting and valuing selected stock items at different times on a perpetually rationing basis
- ▶ **A system of recording receipts and issues of stock as they occur, showing the resulting balance of each stock item at all times**
- ▶ A system of stock recording which remains unchanged over time, in order to monitor trends

Question No: 36 (Marks: 1) - Please choose one

_____ D Corporation uses process costing to calculate the cost of manufacturing Crunchies. During the month 12,500 units were completed, 1,500 units remained in work in process at 25 percent completed. How many equivalent units are produced?

- ▶ 12,500 units
- ▶ **12,875 units**
- ▶ 14,250 units
- ▶ 12,125 units

Question No: 37 (Marks: 1) - Please choose one

_____ A cost that has been incurred but cannot be changed by present or future decisions is called:

- ▶ **Sunk cost**
- ▶ Differential cost
- ▶ Opportunity cost
- ▶ Marginal cost

Question No: 38 (Marks: 1) - Please choose one

_____ All
of the following are deducted from Gross Profit to calculate Operating income **EXCEPT**:

- ▶ Selling expenses
- ▶ Advertising expenses
- ▶ Administrative expenses
- ▶ **Financial expenses**

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Question No: 39 (Marks: 1) - Please choose one

_____ A
company produces two chemicals in a joint process. Chemical A can be sold at split off while chemical B currently cost Rs. 12 per gallon for disposal. If chemical B is further processed, it would cost Rs. 17 per gallon. At what sale price would the company be in different between disposing of chemical B at split off and further processing the chemical?

- ▶ Rs. 5
- ▶ **Rs. 17**
- ▶ Rs. 29
- ▶ Rs. 7

Question No: 40 (Marks: 1) - Please choose one

_____ Which of the following is(are) base(is) of cost allocation under joint products?

- ▶ Physical quantity ratio
- ▶ Selling price ratio
- ▶ Hypothetical market value ratio
- ▶ **All of given options**

Question No: 41 (Marks: 1) - Please choose one

_____ What is the starting point of variable cost line on a break even chart at zero production level?
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- ▶ **It must start from origin**
- ▶ It might start from origin
- ▶ It does not start from origin
- ▶ Non of the given options

Question No: 42 (Marks: 1) - Please choose one

_____ Which of the following is NOT the type of a functional budget?

- ▶ **□□□□□□budget**
- ▶ Raw material budget
- ▶ Direct labour budget

- ▶ Cash budget

Question No: 43 (Marks: 1) - Please choose one

Which of the following must be required for the preparation of Production cost budget?

▶ **Sales in rupees**

- ▶ Cash budget
- ▶ Flexible budget
- ▶ Functional budget

Question No: 44 (Marks: 1) - Please choose one

Which of the following budget includes an item of indirect material cost?

▶ **FOH cost budget**

- ▶ Direct labor cost budget
- ▶ Direct material cost budget
- ▶ None of the given options

Question No: 45 (Marks: 1) - Please choose one

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

What is the ending cash balance in September?

- ▶ Rs. (8,000)
- ▶ Rs. 22,000
- ▶ **Rs. 36,000**
- ▶ Rs. 45,000

Question No: 46 (Marks: 1) - Please choose one

Which of the following cost ('s) will be considered as controllable cost ('s)?

- ▶ Direct material
- ▶ Direct labor
- ▶ Variable overhead
- ▶ **All of the given options**

Question No: 47 (Marks: 1) - Please choose one

All of the following costs are irrelevant to decision making **EXCEPT:**

- ▶ **Incremental cost**
- ▶ Sunk cost

- ▶ Fixed cost
- ▶ Supervisor's routine salary

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Question No: 48 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about opportunity cost?

- ▶ It is irrelevant to decision making
- ▶ It is always a sunk cost
- ▶ It is always a historical cost
- ▶ **It is relevant to decision making**

Question No: 49 (Marks: 3)

Midnight Corporation budget department gathered the following data for the third quarter: The

	July
Projected Sales (units)	1,000
Selling price per unit (Rs.)	30
Direct material purchase requirement (units)	1,500
Purchase cost per unit (Rs.)	15
Production requirements (units)	800

Direct labor hours Rs. 1.5 per unit
Direct Labor rate Rs. 2.5 per direct labor hour
Fixed FOH is Rs. 2600, included depreciation Rs. 300
Selling and Admin expense 4% of sales

Net Income before tax is as follows

July	8,000
August	10,000
September	8,000

All sales and purchase are for cash and all expenses are paid in the month incurred. Assuming that the opening cash balance on July 01 is Rs. 40,000 and tax rate is 35%,

Requirement:

Prepare cash budget for the month of July.

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Question No: 50 (Marks: 3)

Why is the selection of an appropriate cost allocation method in Joint Products important?

Question No: 51 (Marks: 5)

_____ The following information is available for the month of June from the Alpha department of the Greek Corporation:

	Units
Work in process June 01 (80% complete as to conversion)	40,000
Started in June	165,000
Work in process June 30 (60% complete as to conversion)	30,000

Materials are added at the beginning of the process in the Alpha department.

Required: Using the average cost method, what are the equivalent units of production for the month of June?

Question No: 52 (Marks: 5)

_____ The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Question No: 53 (Marks: 10)

Consider the following data:

Sales	Rs.100 Per unit
Material	Rs.10 Per unit
Labor	Rs.10 Per unit
FOH	Rs.5 Per unit
Fixed FOH	Rs. 50,00,000
Units produced & sold	1,00,000 units

Required:

- Income statement under variable costing
- Break Even point in rupees
- Margin of safety ratio at the given sales level
- MOS

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Question No: 54 (Marks: 10)

_____ Ahm ed manufacturing company's projected sales of Rs. 850,000 for the next year. The budgeted data

Material:	Rs. 115,000
Labor:	95,000
FOH:	65,000

The financial charges are estimated Rs. 5,500 and the tax rate is 30%.

FINALTERM EXAMINATION
Spring 2010
MGT402- Cost & Management Accounting (Session - 3)

Marks: 69

Student Info	
StudentID:	MC090402081
Center:	OPKST
ExamDate:	06 Aug 2010

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Question No: 1 (Marks: 1) - Please choose one

_____ If
Selling price per unit Rs. 15.00; Direct Materials cost per unit Rs. 3.50; Direct Labour cost per unit Rs. 4.00 Variable Overhead per unit Rs. 2.00; Budgeted fixed production overhead costs are Rs. 60,000 per annum charged evenly across each month of the year. Budgeted production costs are 30,000 units per annum. What is the Net profit per unit under Absorption costing method.

- ▶ Rs. 9.50
- ▶ Rs. 15.00
- ▶ Rs. 11.50
- ▶ **Rs. 3.50**

Question No: 2 (Marks: 1) - Please choose one

_____ Which of the following cost is linked with the calculation of cost of inventories?

- ▶ **Product cost**
- ▶ Period cost
- ▶ Both product and period cost
- ▶ Historical cost

Question No: 3 (Marks: 1) - Please choose one

_____ If,
Sales = Rs. 800,000
Markup rate = 25% of cost
What would be the value of Gross profit?

- ▶ Rs. 200,000
- ▶ **Rs. 160,000**
- ▶ Rs. 480,000
- ▶ Rs. 640,000

Question No: 4 (Marks: 1) - Please choose one

_____ Which of the following is **TRUE** when piece rate system is used for wage determination?

- ▶ Under this method of remuneration a worker is paid on the basis of time taken by him to perform the work
- ▶ **Under this method of remuneration a worker is paid on the basis of production**
- ▶ The rate is expressed in terms of certain sum of money for total production
- ▶ The rate is not expressed in terms of certain sum of money for total production

Question No: 5 (Marks: 1) - Please choose one

_____ Which of the following manufacturers is most likely to use a job order cost accounting system?

- ▶ A soft drink producer
- ▶ A flour mill
- ▶ Tobacco manufacturing concern
- ▶ **A builder of offshore oil rigs**

Question No: 6 (Marks: 1) - Please choose one

	Materials Costs (Rs.)	Conversion Costs (Rs.)
Work-in-process, May 1	46,000	78,000
Current costs (May)	<u>92,000</u>	<u>124,000</u>
Total cost	138,000	202,000

If the equivalent units of production under FIFO costing were 40,000 and 50,000 for materials and conversion costs, respectively, what are the costs per equivalent unit for Material and Conversion?

- ▶ Rs. 1.15, Rs.1.56
- ▶ Rs.1.76, Rs.1.94
- ▶ **Rs. 2.30, Rs. 2.48**
- ▶ Rs. 3.45, Rs. 4.04

Question No: 7 (Marks: 1) - Please choose one

Jones, Industries uses process costing system. In October, the finishing department had 30,000 (20% as to conversion) units in beginning work-in-process, 45,000 (40% as to conversion) units in ending inventory and had 95,000 units transferred in from the previous department. Material is added at the end of the process and conversion costs are added uniformly throughout the process.

Required: If Jones uses weighted average, what are the equivalent units of production for direct material and conversion costs?

- ▶ Material 125,000 units Conversion cost 45,000 units
- ▶ **Material 125,000 units Conversion cost 98,000 units**
- ▶ Material 125,000 units Conversion cost 18,000 units
- ▶ Material 125,000 units Conversion cost 80,000 units

Question No: 8 (Marks: 1) - Please choose one

_____ The salary of factory clerk is treated as:

- ▶ Direct labor cost
- ▶ **Indirect labor cost**
- ▶ Conversion cost
- ▶ Prime cost

Question No: 9 (Marks: 1) - Please choose one

_____ Average consumption x Emergency time is a formula for the calculation of:

- ▶ Lead time
- ▶ Re-order level
- ▶ Maximum consumption
- ▶ **Danger level**

Question No: 10 (Marks: 1) - Please choose one

EOQ is a point where:

- ▶ **Ordering cost is equal to carrying cost**
- ▶ Ordering cost is higher than carrying cost
- ▶ Ordering cost is lesser than the carrying cost
- ▶ Total cost is maximum

Question No: 11 (Marks: 1) - Please choose one

worker is paid Rs. 0.50 per unit and he produces 18 units in 7 hours. Keeping in view the piece rate system, the total wages of the worker would be: A

- ▶ **$18 \times 0.50 = \text{Rs. } 9$**
- ▶ $18 \times 7 = \text{Rs. } 126$
- ▶ $7 \times 0.5 = \text{Rs. } 3.5$
- ▶ $18 \times 7 \times 0.50 = \text{Rs. } 63$

Question No: 12 (Marks: 1) - Please choose one

Which of the following concept is used in absorption costing?

- ▶ **Matching concept**
- ▶ Cost concept
- ▶ Cash concept
- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

When closing stock is over valuate, what would its effect on profit?

- ▶ Can not determined with given statement
- ▶ **It will Increase the profit**
- ▶ It will decrease the profit
- ▶ No effect on profit

Question No: 14 (Marks: 1) - Please choose one

firm sells bags for Rs. 14 each. The variable cost for each unit is Rs. 8. What is the contribution margin per unit? A

- ▶ **Rs. 6**
- ▶ Rs. 12
- ▶ Rs. 14
- ▶ Rs. 8

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** true? A small company's breakeven point:

- ▶ Occurs where its revenue equals its expenses
- ▶ Shows entrepreneurs' minimum level of activity required to keep the company in operation
- ▶ Is the point at which a company neither earns a profit nor incurs a loss
- ▶ **Total contribution margin equals total variable expenses**

Question No: 16 (Marks: 1) - Please choose one

Keller Co. sells a single product for Rs. 28 per unit. If variable costs are 65% of sales and fixed costs total Rs. 9,800, the break-even point will be:

- ▶ 15,077 units
- ▶ 18,200 units
- ▶ 539 units
- ▶ **1,000 units**

Question No: 17 (Marks: 1) - Please choose one

_____ In process costing, a joint product is

- ▶ **A product which is later divided in to many parts**
- ▶ A product which is produced simultaneously with other products and is of similar value to at least one of the other products
- ▶ A product which is produced simultaneously with other products but which is of a greater value than any of the other products
- ▶ A product produced jointly with another organization

Question No: 18 (Marks: 1) - Please choose one

_____ The by-product of Soap is:

- ▶ **Glycerin**
- ▶ Meat Hides
- ▶ Fats
- ▶ Flour Bran

Question No: 19 (Marks: 1) - Please choose one

While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

- ▶ **Number of units to be sold + closing units – opening units**
- ▶ Number of units to be sold - closing units + opening units

- ▶ Number of units to be sold - closing units – opening units
- ▶ Number of units to be sold + closing units + opening units

Question No: 20 (Marks: 1) - Please choose one

_____ If B
Limited shows required production of 120 cases of product for the month, direct labor per case is 3 hours at Rs. 12 per hour. Budgeted labor costs for the month should be:

- ▶ Rs. 1,360
- ▶ Rs. 1,440
- ▶ **Rs. 4,320**
- ▶ Rs. 5,346

Question No: 21 (Marks: 1) - Please choose one

Which of the following best describe a flexible budget?

- ▶ A budget of variable production costs only
- ▶ **A budget which shows the costs and revenues at different levels of activity**
- ▶ A budget which is prepared using a computer spreadsheet model
- ▶ A budget which is updated with actual costs and revenues as they occur during the budget period

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a process by which managers analyze options available to set courses of action by the organization?

- ▶ Heuristics method
- ▶ **Decision making**
- ▶ The Delphi technique
- ▶ Systematic error

Question No: 23 (Marks: 1) - Please choose one

Which of the following is not true about differential costs?

- ▶ It is a broader concept than variable cost as it takes into account additional fixed costs caused by management decisions
- ▶ With the passage of time and change in situation, differential costs will vary
- ▶ **The difference in cost between buying them from outside or make them in the company is differential cost, irrelevant for decisions**
- ▶ They are extra or incremental costs caused by a particular decision

Question No: 24 (Marks: 1) - Please choose one

_____ In
short term decision making which of the following is not concerned?

- ▶ Cash flows
- ▶ **Ti**
- ▶ **me value of money**
- ▶ Pay back period

- ▶ Capital investments

Question No: 25 (Marks: 1) - Please choose one

In

one off contracts, a contract will probably be accepted if:

- ▶ It increases contribution margin and decreases profit
- ▶ **It increases both contribution margin and profit**
- ▶ It reduces contribution margin and increases profit
- ▶ It reduces both contribution margin and profits

Question No: 26 (Marks: 1) - Please choose one

Which one of the following is the Traditional approach for costing?

- ▶ Contribution approach
- ▶ **Absorption costing approach**
- ▶ Decision making approach
- ▶ Marginal costing approach

Question No: 27 (Marks: 1) - Please choose one

What would be the margin of safety ratio based on the following information?

- ⌚ Sales price = Rs. 100 per unit
- ⌚ Variable cost = Rs. 25 per unit
- ⌚ Fixed cost = Rs. 50 per unit
- ▶ 25%
- ▶ **33.333%**
- ▶ 66.666%
- ▶ 75%

Question No: 28 (Marks: 1) - Please choose one

Which of the following step is the 3rd step towards budgeting process?

- ▶ Forecasting
- ▶ Determination of Principle budget factor
- ▶ **Decision about the removal of constraints**
- ▶ Construction of budget on agreed basis

Question No: 29 (Marks: 1) - Please choose one

If:

Cost of opening finished goods Rs. 2,000
Cost of goods to be produced Rs. 6,000
Operating expenses Rs. 1,000.

Which of the following is the cost of goods available for sale?

- ▶ **Rs. 8,000**

- ▶ Rs. 4,000
- ▶ Rs. 7,000
- ▶ Rs. 9,000

Question No: 30 (Marks: 1) - Please choose one

Ahmed Corporation has sales of Rs. 500,000 for the period. The selling expenses are estimated as 12% of sales. The gross profit for the period is amounting to Rs. 150,000. Calculate the amount of selling expenses for the period?

- ▶ **Rs. 60,000**
- ▶ Rs. 45,000
- ▶ Rs. 90,000
- ▶ Rs. 210,000

Question No: 31 (Marks: 1) - Please choose one

Which of the following is NOT suitable action taken by the firm to overcome the problem of cash shortage during a period?

- ▶ **Overdraft arrangement**
- ▶ Selling off assets
- ▶ Extension in credit period with suppliers
- ▶ Issue of bonus shares

Question No: 32 (Marks: 1) - Please choose one

Which of the following would **NOT** lead to an increase in net cash flow?

- ▶ Larger sales volume
- ▶ Higher selling price
- ▶ Reduced material cost
- ▶ **Charging of lower depreciation**

Question No: 33 (Marks: 1) - Please choose one

of the following are features of a relevant cost **EXCEPT**:

- ▶ They affect the future cost
- ▶ They cause an increment in cost
- ▶ **Relevant cost is a sunk cost**
- ▶ They affect the future cash flows

All

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the relevant cost?

- ▶ It is a sunk cost
- ▶ **It is an opportunity cost**
- ▶ It do not affect the decision making process
- ▶ All costs are relevant

Question No: 35 (Marks: 1) - Please choose one

Fixed budget is based on which of the following?

- ▶ **Normal capacity**
- ▶ Actual capacity
- ▶ Theoretical capacity
- ▶ None of the given options

Question No: 36 (Marks: 1) - Please choose one

An ice factory has a contribution margin of Rs. 450,000 and fixed cost for the year amounts to Rs. 495,000. The fixed cost of Rs. 215,000 can be eliminated if the operations are to be closed during winter season. An extra sale of Rs. 25,000 is also expected during winter season. What would be the decision?

- ▶ Operations would be closed during winter season
- ▶ Operations would be continued as we are having extra sales in winter season
- ▶ Operations would be partially closed
- ▶ **None of the given options**

Question No: 37 (Marks: 1) - Please choose one

In decision making all costs already incurred in past should always be:

- ▶ **Ignored**
- ▶ Considered
- ▶ Partially ignored
- ▶ Partially considered

Question No: 38 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about historical cost?

- ▶ It is always relevant to decision making
- ▶ **It is always irrelevant to decision making**
- ▶ It is always an opportunity cost
- ▶ It is always realizable value

Question No: 39 (Marks: 1) - Please choose one

In cost accounting, unavoidable loss is charged to which of the following?

- ▶ **Factory over head control account**
- ▶ Work in process control account
- ▶ Marketing overhead control account

- ▶ Administration overhead control account

Question No: 40 (Marks: 1) - Please choose one

Meerick Differential Piece Rate Plan based on _____ piece rates is fixed.

- ▶ Two
- ▶ **Three**
- ▶ Four
- ▶ Five

Question No: 41 (Marks: 1) - Please choose one

Which of the given is (are) the method(s) of measurement of Labor Turnover?

- ▶ Separation method
- ▶ Flux method
- ▶ Replacement method
- ▶ **All of the given options**

Question No: 42 (Marks: 1) - Please choose one

Cost of production report is also known as:

- ▶ **Process cost sheet**
- ▶ Job order cost sheet
- ▶ Balance sheet
- ▶ Material requisition sheet

Question No: 43 (Marks: 1) - Please choose one

Which of the given units can never become part of first department of Cost of Production Report?

- ▶ **Units received from preceding department**
- ▶ Units transferred to subsequent department
- ▶ Lost units
- ▶ Units still in process

Question No: 44 (Marks: 1) - Please choose one

Details of the process for the last period are as follows:

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Put into process	5,000 kg
Materials	Rs. 2,500
Labor	Rs.700
Production overheads	200% of labor

Normal losses are 10% of input in the process. The out put for the period was 4,200 Kg from the process. There was no opening and closing Work- in- process. What were the units of abnormal loss?

- ▶ 500 units
- ▶ **300 units**
- ▶ 200 units
- ▶ 100 units

Question No: 45 (Marks: 1) - Please choose one

Which of the given will **NOT** be included for the calculation of equivalent units of material under weighted average costing method?

- ▶ Opening work in process units
- ▶ Closing work in process units
- ▶ Unit completed and transferred out
- ▶ **None of the given options**

Question No: 46 (Marks: 1) - Please choose one

_____ If products/goods cannot sell at split off point then cost can be allocated on the basis of:

- ▶ **Hypothetical market value basis**
- ▶ Selling price ratio
- ▶ Income basis
- ▶ Cost basis

Question No: 47 (Marks: 1) - Please choose one

ABC Company makes a single product which it sells for Rs. 20 per unit. Fixed costs are Rs. 75,000 per month and product has a profit/volume ratio of 40%. In that period actual sales were Rs. 225,000.

Required: Calculate ABC Company Break Even point in Rs.

- ▶ Rs.187, 500
- ▶ Rs.562, 500
- ▶ Rs. 1,500,000
- ▶ **None of the given options**

Question No: 48 (Marks: 1) - Please choose one

Which of the given budget tells the financial effects?

- ▶ Production budget
- ▶ **Production cost budget**
- ▶ Sales budget in units
- ▶ None of the given options

Question No: 49 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Question No: 50 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Question No: 51 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Question No: 52 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Question No: 53 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

FINALTERM EXAMINATION

Spring 2010

MGT402- Cost & Management Accounting (Session)

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

_____ All
of the following are the features of fixed costs EXCEPT:

- ▶ Although fixed within a relevant range of activity level but are relevant to a decision making when it is avoidable.
- ▶ Although fixed within a relevant range of activity level but are relevant to a decision making when it is incremental.
- ▶ Generally it is irrelevant
- ▶ It is relevant to decision making under any circumstances

Question No: 2 (Marks: 1) - Please choose one

_____ Information concerning Department B of Baba Company for the month of April is as follows:

	Units	Material Cost (Rs.)
Work in process opening	7,000	21,000
Units started in April	68,000	210,800
Units completed and transferred out	66,000	
Work in process ending	9,000	

All materials are added at the beginning of the process.

Required: Using the average cost method. How much be the cost (rounded to two places) per equivalent unit for materials?

- ▶ Rs. 3.00
- ▶ Rs. 3.10
- ▶ Rs. 3.09
- ▶ Rs. 3.05

Question No: 3 (Marks: 1) - Please choose one

_____ A
typical factory overhead cost is:

- ▶ Distribution
- ▶ Internal audit
- ▶ Compensation of plant manager
- ▶ Design

Question No: 4 (Marks: 1) - Please choose one

_____ An
average cost is also known as:

- ▶ Variable cost
- ▶ Unit cost
- ▶ Total cost
- ▶ Fixed cost

Question No: 5 (Marks: 1) - Please choose one

Period costs are:

- ▶ Expensed when the product is sold
- ▶ Included in the cost of goods sold
- ▶ Related to specific period
- ▶ Not expensed

Question No: 6 (Marks: 1) - Please choose one

While calculating the EOQ, number of orders is calculated by:

- ▶ Dividing required unit by ordered quantitypage 57
- ▶ Multiplying the required units with ordered quantity
- ▶ Multiplying the ordered quantity with cost per order
- ▶ Multiplying the required units with cost per order

Question No: 7 (Marks: 1) - Please choose one

Which of the following best describe piece rate system?

- ▶ The increased volume of production results in decreased cost of productionpage90
- ▶ The increased volume of production in minimum time
- ▶ Establishment of fair standard rates
- ▶ Higher output is a result of efficient management

Question No: 8 (Marks: 1) - Please choose one

The term Cost apportionment is referred to:

- ▶ The costs that can not be identified with specific cost centers.page100
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers but must be divided among the concerned department/cost centers.
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers.
- ▶ None of the given options

Question No: 9 (Marks: 1) - Please choose one

Examples of industries that would use process costing include all of the following EXCEPT:

- ▶ Beverages
- ▶ Food

- ▶ Hospitality
- ▶ Petroleum

Question No: 10 (Marks: 1) - Please choose one

Which of the following loss is not included as part of the cost of transferred or finished goods, but rather treated as a period cost?

- ▶ Operating loss
- ▶ Abnormal loss
- ▶ Normal loss
- ▶ Non-operating loss

Question No: 11 (Marks: 1) - Please choose one

Hyde Park Company produces sprockets that are used in wheels. Each sprocket sells for Rs. 50 and the company sells approximately 400,000 sprockets each year. Unit cost data for the year follows:

Direct material	Rs. 15	
Direct labor	Rs. 10	
Other cost:	Fixed	Variable
Manufacturing	Rs. 5	Rs. 7
Distribution	Rs. 4	Rs. 3

Required: Identify the unit cost of sprockets under direct costing

- ▶ Rs. 44
- ▶ Rs. 37
- ▶ Rs. 32
- ▶ Rs. 35

Question No: 12 (Marks: 1) - Please choose one

When production is equal to sales, which of the following is TRUE?

- ▶ No change occurs to inventories for either use absorption costing or variable costing methods
- ▶ The use of absorption costing produces a higher net income than the use of variable costing
- ▶ The use of absorption costing produces a lower net income than the use of variable costing
- ▶ The use of absorption costing causes inventory value to increase more than they would though the use of variable costing

Question No: 13 (Marks: 1) - Please choose one

Selling price per unit is Rs. 15, total variable cost per unit is Rs. 9, and total fixed costs are Rs. 15,000 of "XIT". What is the breakeven point in units for "XIT"?

- ▶ 3,000 units
- ▶ 1,000 units
- ▶ 1,667 units
- ▶ 2,500 units $15-9=6$, $15000/6=2500$

Question No: 14 (Marks: 1) - Please choose one

Éclair Ltd manufactured three products, JP,1, JP,2, JP,3 with the following cost of raw material 10,000 kg, cost Rs. 24,000 and conversion cost is Rs. 28,000.

Out-Put	Production, Kg	sales price, per Kg
JP,1	4,000	11
JP,2	3,000	10
JP,3	1,000	26

Process costs are apportioned on a sales value basis.

Required: What was the apportioned cost for JP1.

- ▶ Rs. 22,880
- ▶ Rs. 15,600
- ▶ Rs. 13,520
- ▶ Rs. 52,000

Question No: 15 (Marks: 1) - Please choose one

While constructing a Break even chart, the gap between sales line and variable cost line shows which of the following?

- ▶ Fixed cost
- ▶ Break even point
- ▶ Contribution margin
- ▶ Variable cost

Question No: 16 (Marks: 1) - Please choose one

All

of the following compose cost of goods sold EXCEPT:

- ▶ Raw material
- ▶ Labor
- ▶ Capital
- ▶ Factory overhead

Question No: 17 (Marks: 1) - Please choose one

If a firm is using activity-based budgeting, the firm would use this in place of which of the following budgets?

- ▶ Direct labor budget not sure
- ▶ Direct materials budget
- ▶ Revenue budget
- ▶ Manufacturing overhead budget

Question No: 18 (Marks: 1) - Please choose one

Amount of Depreciation on fixed assets will be fixed in nature if calculated under which of the following method?

- ▶ Straight line method 100% sure
- ▶ Reducing balance method
- ▶ Some of year's digits method
- ▶ Double declining method

Question No: 19 (Marks: 1) - Please choose one

A budget that requires management to justify all expenditures, rather than just changes from the previous year is referred to as:

- ▶ Self-imposed budget
- ▶ Participative budget
- ▶ Perpetual budget
- ▶ Zero-based budget

Question No: 20 (Marks: 1) - Please choose one

Which of the following sentences is the best description of zero-base budgeting?

- ▶ Zero-base budgeting is a technique applied in government budgeting in order to have a neutral effect on policy issues
 - ▶ Zero-base budgeting requires a completely clean sheet of paper every year, on which each part of the organization must justify the budget it requires
- page220

► Zero-base budgeting starts with the figures of the previous period and assumes a zero rate of change

► Zero based budgeting is an alternative name of flexible budget

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT a relevant cost to decision making?

► Opportunity costs

► Relevant benefits

► Avoidable costs

► Sunk costspage7

Question No: 22 (Marks: 1) - Please choose one

Which of the following statement is NOT true about overhead applied rates?

► They are predetermined in advance for each period

► They are used to charge overheads to product

► They are based on actual data for each period

► None of the given options

Question No: 23 (Marks: 1) - Please choose one

Equivalent units of production:

► Is a measure of productive activity.

► Represent work done on units still in process as well as units completed during the period

► Are used as basis for computing per unit cost in most process cost accounting systems

► All of the given optionspage134

Question No: 24 (Marks: 1) - Please choose one

If, Total fixed cost Rs. 2,000, Variable manufacturing cost Rs. 4,000, Variable selling cost Rs. 3,000 and Sales Rs. 10,000 then what is the amount of margin available to recover fixed cost?

► Rs.6,000

► Rs.3,000i think

► Rs.7,000

► Rs.8,000

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is the Traditional approach for costing?

► Contribution approach

- ▶ Absorption costing approachpage203
- ▶ Decision making approach
- ▶ Marginal costing approach

Question No: 26 (Marks: 1) - Please choose one

Under which of the following, all cost of production is considered as product cost, regardless of whether they are variable or fixed in nature?

- ▶ Absorption costingpage175
- ▶ Direct costing
- ▶ Marginal costing
- ▶ Variable costing

Question No: 27 (Marks: 1) - Please choose one

Which of the following is TRUE in case of positive contribution margin?

- ▶ Profit will occur
- ▶ Both profit and loss are possiblepage196
- ▶ Profit will occur if the fixed expenses are greater than the contribution margin
- ▶ A loss will occur if the contribution margin are greater than the fixed expenses

Question No: 28 (Marks: 1) - Please choose one

Which of the following is NOT considered as external factor while preparing the sales budget?

- ▶ Availability of materials or suppliespage203
- ▶ Governmental rules
- ▶ Market fluctuations
- ▶ Competitor's success

Question No: 29 (Marks: 1) - Please choose one

What would be the attitude of the management in treating Sunk costs in decision making?

- ▶ A periodic investment of cash resources that has been made and should be relevant for decision making
- ▶ It is a past cost which is not directly relevant in decision makingpage7
- ▶ Management will treat it as variable cost each time in decision making
- ▶ None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following item is NOT included in FOH cost budget?

- ▶ Indirect material cost
- ▶ Indirect labor cost
- ▶ Power and fuel
- ▶ Direct material cost

Question No: 31 (Marks: 1) - Please choose one

Which of the following budget includes an item of indirect labor cost?

- ▶ FOH cost budget
- ▶ Direct labor cost budget
- ▶ Direct material cost budget
- ▶ None of the given options

Question No: 32 (Marks: 1) - Please choose one

Which of the following budget includes the item of depreciation of plant

- ▶ Direct labor cost budget
- ▶ Variable FOH cost budget
- ▶ Fixed FOH cost budget
- ▶ Direct material cost budget

Question No: 33 (Marks: 1) - Please choose one

Mr. Aslam is running his own personal Financial services business. He has been offered a job for a salary of Rs. 45,000 per month which he does not avail. Rs. 45,000 will be considered as:

- ▶ Sunk Cost
- ▶ Opportunity cost
- ▶ Avoidable cost
- ▶ Historical cost

Question No: 34 (Marks: 1) - Please choose one

After the development of master budget, which of the following ratio ('s) can be used to compare actual performance with budgeted performance?

- ▶ Activity ratio
- ▶ Capacity ratio
- ▶ Efficiency ratio
- ▶ All of the given options

Question No: 35 (Marks: 1) - Please choose one

Which of the following statement is TRUE about historical cost?

- ▶ It is always relevant to decision making
- ▶ It is always irrelevant to decision makingpage7
- ▶ It is always an opportunity cost
- ▶ It is always realizable value

Question No: 36 (Marks: 1) - Please choose one

Which of the given cost does not become the part of cost unit?

- ▶ Advertising expenses
- ▶ Direct labor cost
- ▶ Factory overhead cost
- ▶ Cost of raw material

Question No: 37 (Marks: 1) - Please choose one

The main difference between the profit center and investment center is:

- ▶ Decision making
- ▶ Revenue generation
- ▶ Cost incurrence
- ▶ Investment

Question No: 38 (Marks: 1) - Please choose one

Budgeted Factory overhead at two activity levels is as follows for the period.

	Activity level	Budgeted factory overhead
Low	10,000 Hours	Rs. 40,000
High	50,000 Hours	Rs. 80,000

Required: Identify variable rate with the help of above mentioned data.

- ▶ Rs. 4.00 per hour
- ▶ Rs. 1.60 per hour
- ▶ Rs. 1.00 per hour variable rate=change in bugeted foh/change in activity level
 $50,000-10000=40,000$, $80,000-40000=40000$, $40000/40000=1$
- ▶ Rs. 2.00 per hour

Question No: 39 (Marks: 1) - Please choose one

Which of the given cost is NOT required to prepare Cost of Production Report?

- ▶ Period costpage133
- ▶ Material cost

- ▶ Labour cost
- ▶ Factory overhead cost

Question No: 40 (Marks: 1) - Please choose one

Identify the FOH rate on the basis of machine hour?

Budgeted production overheads	Rs.280,000
actual machine hours	70,000 hours
Actual production overheads	Rs.295,000

- ▶ Rs. 4.00
- ▶ Rs. 4.08
- ▶ Rs. 4.210
- ▶ Rs. 4.35

Question No: 41 (Marks: 1) - Please choose one

Which of the given will NOT be included for the calculation of equivalent units of material under weighted average costing method?

- ▶ Opening work in process units
- ▶ Closing work in process units
- ▶ Unit completed and transferred out
- ▶ None of the given options

Question No: 42 (Marks: 1) - Please choose one

The basic assumption made in direct costing with respect to fixed costs is that:

- ▶ Fixed cost is a controllable cost
- ▶ Fixed cost is a product cost
- ▶ Fixed cost is an irrelevant cost
- ▶ Fixed cost is a period cost

Question No: 43 (Marks: 1) - Please choose one

ABC Company makes a single product which it sells for Rs. 20 per unit. Fixed costs are Rs. 75,000 per month and product has a profit/volume ratio of 40%. In that period actual sales were Rs. 225,000.

Required: Calculate ABC Company Break Even point in Rs.

- ▶ Rs.187, 500
- ▶ Rs.562, 500
- ▶ Rs. 1,500,000
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

The little Rock Company shows Break even sales is Rs. 40, 500 and Budgeted Sales is Rs. 50,000. Identify the Margin of safety ratio?

- ▶ 19%
- ▶ 81% $\frac{\text{mos}}{\text{budgeted sales}} \times 100$
- ▶ 1.81%
- ▶ Required more data to calculate

Question No: 45 (Marks: 1) - Please choose one

Income Statement Budget include(s) all of the following EXCEPT:

- ▶ Selling & distribution expenses budget
- ▶ General & administrative expenses budget
- ▶ Financial charges budget
- ▶ Cash budget

Question No: 46 (Marks: 1) - Please choose one

Deficit budget can be compensated through:

- ▶ Expenses
- ▶ Borrowings
- ▶ Revenues
- ▶ Investments

Question No: 47 (Marks: 1) - Please choose one

ABC Company is preparing Cash Budget for its refuse disposal department. Which of the following would NOT included in Cash Budget?

- ▶ Capital cost of a new collection vehicle
- ▶ Depreciation of the incinerator
- ▶ Sales salaries paid
- ▶ Material purchased

Question No: 48 (Marks: 1) - Please choose one

A machine cost Rs. 60,000 five years ago. It is expected that the machine will generate future revenue of 40,000. Alternatively, the machine could be scrapped for Rs. 35,000. An equivalent machine in the same condition cost 38,000 to buy now.

Required: Identify the realizable value with the help of given data.

- ▶ Rs. 60,000
- ▶ Rs. 40,000
- ▶ Rs. 35, 000
- ▶ Rs. 38,000

Question No: 49 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Question No: 50 (Marks: 3)

Define the term capacity and volume in budgeting?

Question No: 51 (Marks: 5)

An automobile manufacturing company anticipates the following unit sales during the first four months of 2008.

January	20000
February	30000
March	25000
April	40000

The company maintains its ending finished goods inventory at 70% of the following month's sale. The January 1 finished goods inventory will be 14,000 units.

Required: Prepare a production budget for January through March

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Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

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Question No: 53 (Marks: 5)

_____ Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remain the same.

Note: it is necessary to show complete working

Marks: 69

[illegible]

Question No: 1 (Marks: 1) - Please choose one

Which of the following cost is linked with the calculation of cost of inventories?

- ▶ Product cost
- ▶ Period cost
- ▶ Both product and period cost
- ▶ Historical cost

Question No: 2 (Marks: 1) - Please choose one

Cost of incoming freight on merchandise to be sold to customers by a retail chain would be considered by that merchandiser to be:

- ▶ Prime costs
- ▶ Inventoriable costs
- ▶ Period costs
- ▶ None of the given options

Question No: 3 (Marks: 1) - Please choose one

Sales = Rs. 800,000

Markup rate = 25% of cost

What would be the value of Gross profit?

- ▶ Rs. 200,000
- ▶ Rs. 160,000
- ▶ Rs. 480,000
- ▶ Rs. 640,000

If,

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **TRUE** when piece rate system is used for wage determination?

▶ Under this method of remuneration a worker is paid on the basis of time taken by him to perform the work

▶ Under this method of remuneration a worker is paid on the basis of production

▶ The rate is expressed in terms of certain sum of money for total production

▶ The rate is not expressed in terms of certain sum of money for total production

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** to calculate cost of goods manufactured?

▶ Direct labor costs plus total manufacturing costs

▶ The beginning work in process inventory plus total manufacturing costs and subtract the ending work in process inventory

▶ Beginning raw materials inventory plus direct labor plus factory overhead

▶ Conversion costs and work in process inventory adjustments results in cost of

goods manufactured

Question No: 6 (Marks: 1) - Please choose one

of the following are terms used to denote Factory Overheads **EXCEPT**:

- ▶ Factory burden
- ▶ Factory expenses
- ▶ Supplementary costs
- ▶ **Conversion costs**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **TRUE** regarding the use of blanket rate?

- ▶ **The use of a single blanket rate makes the apportionment of overhead costs unnecessary**
- ▶ The use of a single blanket rate makes the apportionment of overhead costs necessary
- ▶ The use of a single blanket rate makes the apportionment of overhead costs uniform
- ▶ None of the given options

Question No: 8 (Marks: 1) - Please choose one

order to compute equivalent units of production, which of the following must be reasonably estimated?

- ▶ Units
- ▶ **The percentage of completion**
- ▶ Direct material cost
- ▶ Units started and completed

Question No: 9 (Marks: 1) - Please choose one

chemical process has no normal wastage of input. In a period, 3,500 Kg of material were in put and there was abnormal loss of 15% of in put. What quantity of good production was achieved?

- ▶ 2,175 Kg
- ▶ **2,975 Kg**
- ▶ 3,325 Kg
- ▶ 4,425 Kg

Question No: 10 (Marks: 1) - Please choose one

Which of the following best describe a by product?

- ▶ A product that usually produces a large amount of revenue which compared to the main product revenue

- ▶ A product that is produced from raw material that would otherwise be scraped
- ▶ A product that has higher selling price per unit than the main product
- ▶ A product created with the main product where sales value does not cover its cost of production

Question No: 11 (Marks: 1) - Please choose one

If joint products are to be processed further beyond the point of separation, costs should be assigned to the products on the basis of:

- ▶ Adjusted sales value
- ▶ Ultimate sales value
- ▶ A physical unit of measure
- ▶ An engineering analysis

Question No: 12 (Marks: 1) - Please choose one

Variable costing is also known as:

- ▶ Direct Costing
- ▶ Marginal Costing
- ▶ Both Direct Costing & Marginal Costing
- ▶ Indirect Costing

Question No: 13 (Marks: 1) - Please choose one

ABC Company reported sales of Rs. 150,000 (20,000 units). Fixed costs amounted to Rs. 20,000 and income for the period was Rs. 90,000. Determine the per-unit variable cost.

- ▶ Rs.1.00
- ▶ Rs.2.00
- ▶ Rs.4.50
- ▶ Rs.5.50

Question No: 14 (Marks: 1) - Please choose one

Selling price per unit is Rs. 15, total variable cost per unit is Rs. 9, and total fixed costs are Rs. 15,000 of "XIT". What is the breakeven point in units for "XIT"?

- ▶ 3,000 units
- ▶ 1,000 units
- ▶ 1,667 units
- ▶ 2,500 units

Question No: 15 (Marks: 1) - Please choose one

In process costing, a joint product is

- ▶ A product which is later divided in to many parts

- ▶ A product which is produced simultaneously with other products and is of similar value to at least one of the other products
- ▶ A product which is produced simultaneously with other products but which is of a greater value than any of the other products
- ▶ A product produced jointly with another organization

Question No: 16 (Marks: 1) - Please choose one

Eclair Ltd manufactured three products,JP,1,JP2,JP,3 with the following cost of raw material 10,000 kg cost Rs. 24,000 and conversion cost is Rs. 28,000.

Out-Put	Production,Kg	sales price, per Kg
JP,1	4,000	11
JP,2	3,000	10
JP,3	1,000	26

Process costs are apportioned on a sales value basis.

Required: What was the apportioned cost for JP2.

- ▶ Rs. 13,520
- ▶ Rs. 22,880
- ▶ Rs. 15,600
- ▶ Rs. 52,000

Question No: 17 (Marks: 1) - Please choose one

All

of the following compose cost of goods sold EXCEPT:

- ▶ Raw material
- ▶ Labor
- ▶ Capital
- ▶ Factory overhead

Question No: 18 (Marks: 1) - Please choose one

If a firm is using activity-based budgeting, the firm would use this in place of which of the following budgets?

- ▶ Direct labor budget

- ▶ Direct materials budget
- ▶ Revenue budget
- ▶ Manufacturing overhead budget

Question No: 19 (Marks: 1) - Please choose one

Hogan Company plans to assemble 5,000 tables. Each table requires 0.25 hours of direct labor at Rs. 19 per direct labor hour. The amount of direct labor that should be budgeted for is:

- ▶ Rs. 380,000
- ▶ Rs. 95,000
- ▶ Rs. 39,583
- ▶ Rs. 23,750

Question No: 20 (Marks: 1) - Please choose one

Extent Incorporated estimates its direct labor costs at 2 hours per unit at an average cost of Rs. 12 per hour. The budgeted direct labor cost to produce 27,000 units of product is:

- ▶ Rs. 324,000
- ▶ Rs. 470,000
- ▶ Rs. 540,000
- ▶ Rs. 648,000

Question No: 21 (Marks: 1) - Please choose one

_____ The payments that a firm collects from its customers are called:

- ▶ Cash disbursements
- ▶ Cash outflows
- ▶ Cash receipts
- ▶ Capital expenditures

Question No: 22 (Marks: 1) - Please choose one

_____ The Auslander Company has 1,600 obsolete calculators that are carried in inventory at a total cost of Rs. 106,800. If these calculators are upgraded at a total cost of Rs. 40,000, they can be sold for a total of Rs. 120,000. As an alternative, the calculators can be sold in their present condition for Rs. 44,800. What will be the sunk cost in this situation?

- ▶ Rs. 0
- ▶ Rs. 40,000
- ▶ Rs. 44,800
- ▶ Rs. 106,800

Question No: 23 (Marks: 1) - Please choose one

A
relevant cost or benefit is one that will be affected by the decision. Which of the following should be regarded as relevant in the decision-making process?

- ▶ Fixed overheads
- ▶ Notional costs
- ▶ Sunk costs
- ▶ Opportunity costs

Question No: 24 (Marks: 1) - Please choose one

Decision making should be based on all of the following relevant costs features EXCEPT:

- ▶ Relevant Costs are future costs
- ▶ Relevant Costs are cash flows
- ▶ Relevant Costs are incremental costs
- ▶ Relevant Costs are sunk costs

Question No: 25 (Marks: 1) - Please choose one

The
decision to drop a product line should be based on:

- ▶ The fact that the product line shows a net loss over several periods
- ▶ The ability of the firm to eliminate some fixed costs as a result of dropping the product
- ▶ Whether the fixed costs that can be avoided by dropping the product line are less than the contribution margin that will be lost
- ▶ Whether the fixed costs that can be avoided by dropping the product line are greater than the contribution margin lost

Question No: 26 (Marks: 1) - Please choose one

Lansing Department Store provided information regarding three departments:

	Department A (Rs.)	Department B (Rs.)	Department C (Rs.)
Sales	5,000	10,000	12,500
Variable costs	2,500	8,500	13,500
Fixed costs (unavoidable)	1,000	1,000	2,000
Fixed costs (avoidable)	1,000	2,000	500

Assuming the trends in costs and revenues continue, which department should be discontinued?

- ▶ A only
- ▶ B only
- ▶ C only
- ▶ More than one department should be discontinued

Question No: 27 (Marks: 1) - Please choose one

Which of the following product always possess a lower selling price then the main product?

- ▶ By-product
- ▶ Joint product
- ▶ Both By-product and Joint product
- ▶ None of the given options

Question No: 28 (Marks: 1) - Please choose one

Product cost under absorption costing is characteristically:

- ▶ Higher than under variable costing.
- ▶ Lower than under variable costing.
- ▶ Equal to variable costing.
- ▶ Higher sometimes and lower sometimes than variable costing.

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a purpose of Break-even chart with respect to its usage?

- ▶ To show the effect of change in circumstances
- ▶ To show the financial performance of business
- ▶ To show the financial health of business
- ▶ To calculate the cost of production

Question No: 30 (Marks: 1) - Please choose one

If revenue is taken at vertical axis on a break even chart then which of the following will be taken at horizontal level?

- ▶ Cost
- ▶ Production
- ▶ Net income
- ▶ sales

Question No: 31 (Marks: 1) - Please choose one

Which of the following is NOT the type of a functional budget?

- ▶ ☐ ☐ ☐ ☐ ☐ budget
- ▶ Raw material budget
- ▶ Direct labour budget
- ▶ Cash budget

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a requirement of the general principles of budgeting?

- ▶ Responsibility for forecasting costs must be clearly defined
- ▶ Changes are not made just because of more favorable results are expected
- ▶ Accountability for actual results must be enforced
- ▶ Goals must be realistic and possible to attain

Question No: 33 (Marks: 1) - Please choose one

_____ All
of the following are the examples of administrative expenses **EXCEPT**:

- ▶ Salaries of employees
- ▶ Utility bills
- ▶ Interest paid on debt
- ▶ Depreciation of office equipment

Question No: 34 (Marks: 1) - Please choose one

_____ The
gross profit for the company amounts to Rs. 85,000. The selling and administration expenses are Rs. 35,000 and Rs. 20,000 respectively. The financial charges are Rs. 9,500. What would be the Profit before tax of a company?

- ▶ Rs. 35,000
- ▶ Rs. 30,000
- ▶ Rs. 20,500
- ▶ Rs. 50,000

Question No: 35 (Marks: 1) - Please choose one

Which of the following would **NOT** lead to an increase in net cash flow?

- ▶ Larger sales volume
- ▶ Higher selling price
- ▶ Reduced material cost
- ▶ Charging of lower depreciation

Question No: 36 (Marks: 1) - Please choose one

Which of the following is used in decision making?

- ▶ Contribution margin approach
- ▶ Differential cost approach
- ▶ Fixed cost approach
- ▶ Both Contribution margin and Differential cost approach

Question No: 37 (Marks: 1) - Please choose one

Which of the following is a cost that is always irrelevant to decision making?

- ▶ Opportunity cost
- ▶ Sunk cost
- ▶ Direct material cost
- ▶ Direct labour cost

Question No: 38 (Marks: 1) - Please choose one

_____ The main difference between the profit center and investment center is:

- ▶ Decision making
- ▶ Revenue generation
- ▶ Cost incurrence
- ▶ Investment

Question No: 39 (Marks: 1) - Please choose one

Inventory ordering cost is also known as:

- ▶ Procurement cost
- ▶ Inventory carrying cost
- ▶ Prime cost
- ▶ Conversion cost

Question No: 40 (Marks: 1) - Please choose one

_____ In which of the situation spending variance will give unfavorable result?

- ▶ Actual factory overhead is less than absorbed factory overhead
- ▶ Actual factory overhead is greater than absorbed factory overhead
- ▶ Budgeted factory overhead for actual volume is less than actual factory overhead
- ▶ Absorbed factory overhead less than budgeted factory overhead for actual volume

Question No: 41 (Marks: 1) - Please choose one

_____ The net profit or net loss for a particular time period is calculated in which of the given statement?

- ▶ Cost of goods manufactured statement
- ▶ Bank reconciliation statement
- ▶ Income statement

- ▶ Bank statement

Question No: 42 (Marks: 1) - Please choose one

Factory overheads can be absorbed by which of the following methods?

- i. Direct labours hours
 - ii. Machine hours
 - iii. As a percentage of prime cost
 - iv. Rs. * Per unit
- ▶ i,ii iii and iv
 - ▶ i and ii only
 - ▶ iii and iv only
 - ▶ i and iv only

Question No: 43 (Marks: 1) - Please choose one

By products can be sold in which of the following condition(s).

- ▶ At split off point
- ▶ After further processing
- ▶ Both at split off point and after further processing
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

Which of the given is (are) part of budgeted balance sheet?

- ▶ Assets
- ▶ Liabilities
- ▶ Owner's equity
- ▶ All of the given options

Question No: 45 (Marks: 1) - Please choose one

If you are currently employed as a cost & management accountant in manufacturing company and you are also thinking over to start your own business. In considering whether or not to start your own business, your current salary level would be:

- ▶ A sunk cost
- ▶ An incremental cost
- ▶ An irrelevant cost

- ▶ An opportunity cost

Question No: 46 (Marks: 1) - Please choose one

Flexible budget at actual capacity Rs. 73,400 and Actual cost incurred at actual capacity Rs. 76,500. Identify the Expenditure Variance with the help of given data.

- ▶ Rs. 3,100 Favorable balance
- ▶ Rs. 3,100 Unfavorable balance
- ▶ Rs. 149,900 Favorable balance
- ▶ Rs. 149,900 Unfavorable balance

Question No: 47 (Marks: 1) - Please choose one

The following monthly data are available for the XYZ, Inc. Unit sales price Rs. 36 Unit variable expenses Rs. 28 Total fixed expenses Rs. 50,000 Actual sales for the month of May Rs. 262,000 and break even sales Rs. 225,000.

Required: Identify the margin of safety.

- ▶ Rs. 37,000
- ▶ Rs. 27,000
- ▶ Rs. 25,000
- ▶ Rs. 62,000

Question No: 48 (Marks: 1) - Please choose one

Superior started 80,000 gallons of paint. During the month the company completed 92,000 gallons and transferred them to the mixing department. Superior had 38,000 gallons (30% complete as to conversion) in beginning inventory and 26,000 gallons (20% complete as to conversion) in ending inventory.

Required: How many gallons were completed in this period?

- ▶ 54,000 units
- ▶ 66,000 units
- ▶ 42,000 units
- ▶ 48,000 units

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open

market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-liter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000. The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Question No: 53 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000

Question No: 1 (Marks: 1) - Please choose one

BDH produced 30,500 units of Kisty (a product). Each unit of Kisty takes two units of component L. Component L is budgeted to cost Rs. 12 per unit. Current inventory of L is 4,000 units. BDH wants 6,000 units of L on hand at the end of the next year. How much will the direct materials budget show as the cost of materials to be purchased?

- ▶ Rs. 756,000
- ▶ **Rs. 390,000**
- ▶ Rs. 684,000
- ▶ Rs. 330,000

Question No: 2 (Marks: 1) - Please choose one

Period costs are:

- ▶ Expensed when the product is sold
- ▶ Included in the cost of goods sold
- ▶ **Related to specific period**
- ▶ Not expensed

Question No: 3 (Marks: 1) - Please choose one

In a job order cost system, the use of direct materials would be recorded as a debit to:

- ▶ Finished Goods inventory
- ▶ Manufacturing Overhead
- ▶ Raw Materials inventory
- ▶ **Work in Process inventory**

Question No: 4 (Marks: 1) - Please choose one

Which of the following is/are reported in production cost report?

- ▶ **The costs charged to the department**
- ▶ How the costs were assigned to the output?
- ▶ The equivalent units of production by the department
- ▶ All of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following is the best define a by-product?

- ▶ A by-product is a product arising from a process where the wastage rate is higher than a defined level
- ▶ **A by-product is a product arising from a process where the sales value is insignificant by comparison with that of the main product or products**

▶ A by-product is a product arising from a process where the wastage rate is unpredictable

▶ A by-product is a product arising from a process where the sales value is significant by comparison with that of the main product or products

Question No: 6 (Marks: 1) - Please choose one

Which of the following constitutes the basis on which joint costs are more frequently allocated?

- ▶ Physical volume of output
- ▶ Conversion costs
- ▶ Prime costs
- ▶ **Market value**

Question No: 7 (Marks: 1) - Please choose one

Product cost under absorption costing is characteristically:

- ▶ Higher than under variable costing
- ▶ **Lower than under variable costing**
- ▶ Equal to variable costing
- ▶ Higher sometimes and lower sometimes than variable costing

Question No: 8 (Marks: 1) - Please choose one

When production is less than sales, which of the following is **TRUE**?

- ▶ No change occurs to inventories for either absorption costing or variable costing methods
- ▶ **The use of absorption costing produces a higher net income than the use of variable costing**
- ▶ The use of absorption costing produces a lower net income than the use of variable costing
- ▶ None of the given options

Question No: 9 (Marks: 1) - Please choose one

Company A's fixed costs were Rs. 42,000, its variable costs were Rs. 24,000 and its sales were Rs. 80,000 (8,000 units). What is the company's break-even point in units?

- ▶ 1,400 units
- ▶ 5,000 units
- ▶ **6,000 units**
- ▶ 7,000 units

Question No: 10 (Marks: 1) - Please choose one

_____ The Environmental Filter Company is planning to sell air filter systems for Rs. 2,500 per unit.

Variable costs are Rs. 1,500 per unit and total fixed costs are Rs. 1,000,000. What is the value of sales necessary to break even?

- ▶ **Rs. 1,000,000**
- ▶ Rs. 2,000,000
- ▶ Rs. 2,500,000
- ▶ Rs. 5,000,000

Question No: 11 (Marks: 1) - Please choose one

All

of the following are assumptions in constructing a Break even chart **EXCEPT**:

- ▶ **There is no change of time value of money**
- ▶ Price of cost factors remains constant
- ▶ Long term period will be considered
- ▶ Cost is affected by volume

Question No: 12 (Marks: 1) - Please choose one

A

plan expressed in financial terms may be known as a:

- ▶ **Budget**
- ▶ Final account
- ▶ Forecast
- ▶ Balanced scorecard

Question No: 13 (Marks: 1) - Please choose one

Which of the following is true for the direct labor cost budget?

- ▶ It is prepared from the sales budget
- ▶ **It is prepared from the production budget**
- ▶ In the direct labor budget, ending inventory is subtracted and beginning inventory is added
- ▶ The first line of the direct labor budget is total direct labor cost

Question No: 14 (Marks: 1) - Please choose one

Usually the first step in the production of the master budget is the:

- ▶ **Sales forecast**
- ▶ Sales budget
- ▶ Cash budget
- ▶ Production budget

Question No: 15 (Marks: 1) - Please choose one

Which of the following budget is the most important in service organizations?

- ▶ **Production budget**

- ▶ Merchandise purchases budget
- ▶ Direct labor budget
- ▶ Direct materials budget

Question No: 16 (Marks: 1) - Please choose one

When using a flexible budget, a decrease in production levels within a relevant range:

- ▶ Decreases variable cost per unit
- ▶ Decreases total costs
- ▶ Increases total fixed costs
- ▶ **Increases variable cost per unit**

Question No: 17 (Marks: 1) - Please choose one

The managers of a firm are in the process of deciding whether to accept or reject a special offer for one of its products. A cost that is not relevant to their decision is the:

- ▶ **Variable overheads**
- ▶ Common fixed overhead that will continue if the special offer is not accepted
- ▶ Direct materials
- ▶ Fixed overhead that will be avoided if the special offer is accepted

Question No: 18 (Marks: 1) - Please choose one

Costs that have been incurred include which of the following?

- ▶ **Only opportunity costs**
- ▶ Costs that have already been paid
- ▶ Costs that have been committed
- ▶ Both costs that have already been paid and committed

Question No: 19 (Marks: 1) - Please choose one

Which of the following costs are always relevant in decision-making

- ▶ Avoidable costs
- ▶ Fixed costs
- ▶ **Sunk costs**
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

A company produces two chemicals in a joint process. Chemical A can be sold at split off while chemical B currently cost Rs. 12 per gallon for disposal. If chemical B is further processed, it would cost Rs. 17 per gallon. At what sale price would the company be in different between disposing of chemical B at split off and further processing the chemical?

- ▶ **Rs. 5**
- ▶ Rs. 17

- ▶ Rs. 29
- ▶ Rs. 7

Question No: 21 (Marks: 1) - Please choose one

Under which of the following, all cost of production is considered as product cost, regardless of whether they are variable or fixed in nature?

- ▶ **Absorption costing**
- ▶ Direct costing
- ▶ Marginal costing
- ▶ Variable costing

Question No: 22 (Marks: 1) - Please choose one

_____ If
units started in process are 25,000, units still in process are 5,000 and degree of completion is 100% materials & 40% conversation cost. Which of the following is Equivalent Production quantity of material?

- ▶ 30,000 units
- ▶ 25,000 units
- ▶ **22,000 units**
- ▶ 15,000 units

Question No: 23 (Marks: 1) - Please choose one

Which of the following method is most commonly used for dealing with beginning work in process inventory units while preparing the Cost of Production Report?

- ▶ FIFO Method
- ▶ **Cash Accounting Method**
- ▶ Accrual Accounting Method
- ▶ LIFO Method

Question No: 24 (Marks: 1) - Please choose one

_____ A
company ABC has contribution to sales ratio of 35%, variable cost to sales ratio of 65% and a profit to sales ratio of 17%. What will be the margin of safety ratio?

- ▶ **48.6%**
- ▶ 53.8%
- ▶ 26.2%
- ▶ It can not be calculated from the given data

Question No: 25 (Marks: 1) - Please choose one

_____ All
of the following are the examples of administrative expenses **EXCEPT**:

- ▶ Salaries of employees
- ▶ Utility bills
- ▶ Interest paid on debt
- ▶ Depreciation of office equipment

Question No: 26 (Marks: 1) - Please choose one

What kind of decision is made by management when there will be surplus cash in hand for a certain period?

- ▶ Investment decision
- ▶ Financing decision
- ▶ Operational decision
- ▶ Funding decision

Question No: 27 (Marks: 1) - Please choose one

Mr. Aslam is running his own personal Financial services business. He has been offered a job for a salary of Rs. 45,000 per month which he does not availed. Rs. 45,000 will be considered as:

- ▶ Sunk Cost
- ▶ Opportunity cost
- ▶ Avoidable cost
- ▶ Historical cost

Question No: 28 (Marks: 1) - Please choose one

Which of the following ratio is obtained by dividing Flexible budget at actual capacity to Original budget at normal capacity?

- ▶ Activity ratio
- ▶ Capacity ratio
- ▶ Profitability ratio
- ▶ Efficiency ratio

Question No: 29 (Marks: 1) - Please choose one

Which of the following is used in decision making?

- ▶ Contribution margin approach
- ▶ Differential cost approach
- ▶ Fixed cost approach
- ▶ Both Contribution margin and Differential cost approach

Question No: 30 (Marks: 1) - Please choose one

Given data that:

Work in Process Opening Inventory Rs. 20,000

Work in Process Closing Inventory	10,000
Finished goods Opening Inventory	30,000
Finished goods Closing Inventory	50,000
Cost of goods sold	190,000

What will be the value of cost of goods manufactured?

- ▶ Rs. 200,000
- ▶ Rs. 210,000
- ▶ **Rs. 220,000**
- ▶ Rs. 240,000

Question No: 31 (Marks: 1) - Please choose one

Periodic inventory system is also known as:

- ▶ Physical system
- ▶ Perpetual inventory system
- ▶ **Continuous inventory system**
- ▶ None of the given options

Question No: 32 (Marks: 1) - Please choose one

Cost of material consumed under FIFO costing method is Rs. 5,000. Direct labor cost was Rs. 3,000 and Factory overhead was 150% of direct labor. 800 units sold @ Rs. 30 and per unit cost was @ Rs25.

Required: Calculate Profit with the help of given information.

- ▶ **Rs. 4,000**
- ▶ Rs. 3,000
- ▶ Rs. 5,000
- ▶ Rs 4,500

Question No: 33 (Marks: 1) - Please choose one

The annual demand for a stock item is 2,500 units. The cost of placing an order is Rs. 80 and the cost holding an item in stock is for one year is Rs. 15.

Required: What is the EOQ?

- ▶ **163 units**
- ▶ 1250 units
- ▶ 5,000 units
- ▶ 160 units

Question No: 34 (Marks: 1) - Please choose one

cost accounting, Avoidable loss is charged to which of the following? In

- ▶ **Factory over head control account**
- ▶ Work in process control account
- ▶ Marketing overhead control account
- ▶ Administration overhead control account

Question No: 35 (Marks: 1) - Please choose one

Inventory of Rs. 96,000 was purchased during the year. The cost of goods sold was Rs. 90,000 and the ending inventory was Rs. 18,000. What was the inventory turnover ratio for the year?

- ▶ 5.0 times
- ▶ **5.3 times**
- ▶ 6.0 times
- ▶ 6.4 times

Question No: 36 (Marks: 1) - Please choose one

Consider the following data:

Normal wages	Rs.600
Overtime Payment	Rs.11,00
Total shift allowance	Rs. 100
Over time premium	?

- ▶ **Rs. 500**
- ▶ Rs. 600
- ▶ Rs. 700
- ▶ Rs. 1200

Question No: 37 (Marks: 1) - Please choose one

Calculate predetermined factory overhead absorption rates with the help of given data.

Items	Budgeted figure	Actual Figures
Factory overhead (Rs)	1,200,000	----
Machine hours	200,000	28,000

- ▶ **Rs. 43.00**
- ▶ Rs. 0.20
- ▶ Rs. 6.00
- ▶ Rs. 14

Question No: 38 (Marks: 1) - Please choose one

_____ In
which of the situation spending variance will give favorable result?

- ▶ Actual factory overhead is less than absorbed factory overhead
- ▶ Actual factory overhead is greater than absorbed factory overhead
- ▶ Budgeted factory overhead for actual volume is greater than actual factory overhead
- ▶ Absorbed factory overhead less than budgeted factory overhead for actual volume

Question No: 39 (Marks: 1) - Please choose one

_____ If
Budgeted FOH for actual volume is 740,000 and Actual factory overhead is Rs. 710,000 then difference of both will be:

- ▶ Volume variance of Rs. 30,000
- ▶ Spending variance of Rs. 30,000
- ▶ Overhead variance of Rs. 30,000
- ▶ Idle capacity variance of Rs. 30,000

Question No: 40 (Marks: 1) - Please choose one

_____ You
are required to identify how many good units were outputs from the process.

	Units
Units put in process	4,000
Lost units	500
Units in process	200

- ▶ 3,300 units
- ▶ 4,000 units
- ▶ 4,200 units
- ▶ 4,500 units

Question No: 41 (Marks: 1) - Please choose one

_____ Revenue from sales of the by-products can be listed on income statement as:

- ▶ A deduction from the cost of goods of the main product
- ▶ All of the given options
- ▶ **Other income**
- ▶ Additional sales revenue

Question No: 42 (Marks: 1) - Please choose one

Which of the given is (are) product costing approaches/techniques?

- ▶ Marginal costing
- ▶ Marginal and absorption costing
- ▶ Job order costing
- ▶ **Process costing**

Question No: 43 (Marks: 1) - Please choose one

Income Statement Budget include(s) all of the following EXCEPT:

- ▶ Selling & distribution expenses budget
- ▶ **General & administrative expenses budget**
- ▶ Financial charges budget
- ▶ Cash budget

Question No: 44 (Marks: 1) - Please choose one

Which of the given rate is used in production cost budget?

- ▶ **Predetermined rate**
- ▶ Variable rate
- ▶ Fixed overhead rate
- ▶ Blanket rate

Question No: 45 (Marks: 1) - Please choose one

Which of the given functional budget is **NOT** required to calculate budgeted income statement?

- ▶ **Cash budget**
- ▶ Cost of goods sold budget

- ▶ Sales budget
- ▶ Selling & administrative expense budget

Question No: 46 (Marks: 1) - Please choose one

cost that will not be incurred if an activity is suspended is called as: A

- ▶ Avoidable cost
- ▶ **Sunk cost**
- ▶ Historical cost
- ▶ Opportunity cost

Question No: 47 (Marks: 1) - Please choose one

With reference to decision making, a business which has entered a binding contract to spend money in future, this incurred cost will be considered as which of the following?

- ▶ Historic cost
- ▶ Committed cost
- ▶ Binding cost
- ▶ **Sunk cost**

Question No: 48 (Marks: 1) - Please choose one

Flexible budget at actual capacity Rs. 73,400 and Actual cost incurred at actual capacity Rs. 76,500. Identify the Expenditure Variance with the help of given data.

- ▶ Rs. 3,100 Favorable balance
- ▶ **Rs. 3,100 Unfavorable balance**
- ▶ Rs. 149,900 Favorable balance
- ▶ Rs. 149,900 Unfavorable balance

Question No: 49 (Marks: 3)

company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities: A

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

What should be the opportunity costs?

2 year ago cost = Rs. 1000

Now it cost = Rs. 2000

In case of replacement: Rs. 900

In case sell = Rs. 800

1) Opportunity cost = $2000 - 900 = 1100$

2) Opportunity cost = $2000 - 800 = 1200$

Question No: 50 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Question No: 51 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

Question No: 52 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain

Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

Yes.

If the outsider has offered 9 rupees per unit = $9 \times 1000 = 90,000$
The total cost = 95000
It rent out = 8000

The opportunity cost of 5000 has to be beared.

Question No: 53 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	Administrative
Interest paid on debts	Financial
Utility Bills	Finance cost
Depreciation of office equipment	Administrative cost
Interest paid on debentures	finance